

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 702

BY BUSINESS COMMITTEE

AN ACT

RELATING TO COMMERCIAL TRANSACTIONS; AMENDING SECTION 28-8-110, IDAHO CODE, TO REVISE A PROVISION REGARDING APPLICABILITY AND CHOICE OF LAW AND TO REMOVE PROVISIONS REGARDING APPLICABILITY AND CHOICE OF LAW; AMENDING SECTION 28-8-503, IDAHO CODE, TO REMOVE A CODE REFERENCE AND TO MAKE TECHNICAL CORRECTIONS; AMENDING SECTION 28-8-511, IDAHO CODE, TO REMOVE PROVISIONS REGARDING PRIORITY AMONG SECURITY INTERESTS AND ENTITLEMENT HOLDERS; AMENDING SECTION 28-9-305, IDAHO CODE, TO REMOVE A PROVISION REGARDING SECURITY INTERESTS AND TO MAKE A TECHNICAL CORRECTION; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 28-8-110, Idaho Code, be, and the same is hereby amended to read as follows:

28-8-110. APPLICABILITY AND CHOICE OF LAW. (1) The local law of the issuer's jurisdiction, as specified in subsection (4) of this section, governs:

(a) The validity of a security;

(b) The rights and duties of the issuer with respect to registration of transfer;

(c) The effectiveness of registration of transfer by the issuer;

(d) Whether the issuer owes any duties to an adverse claimant to a security; and

(e) Whether an adverse claim can be asserted against a person to whom transfer of a certificated or uncertificated security is registered or a person who obtains control of an uncertificated security.

(2) ~~The local law of the securities intermediary's jurisdiction, as specified in subsection (5) of this section, Idaho governs:~~

(a) Acquisition of a security entitlement from the securities intermediary;

(b) The rights and duties of the securities intermediary and entitlement holder arising out of a security entitlement;

(c) Whether the securities intermediary owes any duties to an adverse claimant to a security entitlement; and

(d) Whether an adverse claim can be asserted against a person who acquires a security entitlement from the securities intermediary or a person who purchases a security entitlement or interest therein from an entitlement holder.

(3) The local law of the jurisdiction in which a security certificate is located at the time of delivery governs whether an adverse claim can be asserted against a person to whom the security certificate is delivered.

(4) "Issuer's jurisdiction" means the jurisdiction under which the issuer of the security is organized or, if permitted by the law of that juris-

diction, the law of another jurisdiction specified by the issuer. An issuer organized under the law of this state may specify the law of another jurisdiction as the law governing the matters specified in subsections (1) (b) through (1) (e) of this section.

~~(5) The following rules determine a "securities intermediary's jurisdiction" for purposes of this section:~~

~~(a) If an agreement between the securities intermediary and its entitlement holder governing the securities account expressly provides that a particular jurisdiction is the securities intermediary's jurisdiction for purposes of this part, this chapter, or this act, that jurisdiction is the securities intermediary's jurisdiction.~~

~~(b) If paragraph (a) of this subsection does not apply and an agreement between the securities intermediary and its entitlement holder governing the securities account expressly provides that the agreement is governed by the law of a particular jurisdiction, that jurisdiction is the securities intermediary's jurisdiction.~~

~~(c) If neither paragraph (a) nor paragraph (b) of this section applies and an agreement between the securities intermediary and its entitlement holder governing the securities account expressly provides that the securities account is maintained at an office in a particular jurisdiction, that jurisdiction is the securities intermediary's jurisdiction.~~

~~(d) If none of the preceding paragraphs apply, the securities intermediary's jurisdiction is the jurisdiction in which the office identified in an account statement as the office serving the entitlement holder's account is located.~~

~~(e) If none of the preceding paragraphs apply, the securities intermediary's jurisdiction is the jurisdiction in which the chief executive office of the securities intermediary is located.~~

~~(6) A securities intermediary's jurisdiction is not determined by the physical location of certificates representing financial assets, or by the jurisdiction in which is organized the issuer of the financial asset with respect to which an entitlement holder has a security entitlement, or by the location of facilities for data processing or other recordkeeping concerning the account.~~

SECTION 2. That Section 28-8-503, Idaho Code, be, and the same is hereby amended to read as follows:

28-8-503. PROPERTY INTEREST OF ENTITLEMENT HOLDER IN FINANCIAL ASSET HELD BY SECURITIES INTERMEDIARY. (1) To the extent necessary for a securities intermediary to satisfy all security entitlements with respect to a particular financial asset, all interests in that financial asset held by the securities intermediary are held by the securities intermediary for the entitlement holders, are not property of the securities intermediary, and are not subject to claims of creditors of the securities intermediary, ~~except as otherwise provided in section 28-8-511.~~

(2) An entitlement holder's property interest with respect to a particular financial asset under subsection (1) of this section is a pro rata property interest in all interests in that financial asset held by the securities intermediary, without regard to the time the entitlement holder acquired the

1 security entitlement or the time the securities intermediary acquired the
2 interest in that financial asset.

3 (3) An entitlement holder's property interest with respect to a par-
4 ticular financial asset under subsection (1) of this section may be enforced
5 against the securities intermediary only by exercise of the entitlement
6 holder's rights under sections 28-8-505 through 28-8-508, Idaho Code.

7 (4) An entitlement holder's property interest with respect to a par-
8 ticular financial asset under subsection (1) of this section may be enforced
9 against a purchaser of the financial asset or interest therein only if:

10 (a) Insolvency proceedings have been initiated by or against the secu-
11 rities intermediary;

12 (b) The securities intermediary does not have sufficient interests in
13 the financial asset to satisfy the security entitlements of all of its
14 entitlement holders to that financial asset;

15 (c) The securities intermediary violated its obligations under section
16 28-8-504, Idaho Code, by transferring the financial asset or interest
17 therein to the purchaser; and

18 (d) The purchaser is not protected under subsection (5) of this sec-
19 tion.

20 The trustee or other liquidator, acting on behalf of all entitlement holders
21 having security entitlements with respect to a particular financial asset,
22 may recover the financial asset, or interest therein, from the purchaser. If
23 the trustee or other liquidator elects not to pursue that right, an entitle-
24 ment holder whose security entitlement remains unsatisfied has the right to
25 recover its interest in the financial asset from the purchaser.

26 (5) An action based on the entitlement holder's property interest with
27 respect to a particular financial asset under subsection (1) of this sec-
28 tion, whether framed in conversion, replevin, constructive trust, equitable
29 lien or other theory, may not be asserted against any purchaser of a finan-
30 cial asset or interest therein who gives value, obtains control, and does not
31 act in collusion with the securities intermediary in violating the securi-
32 ties intermediary's obligations under section 28-8-504, Idaho Code.

33 SECTION 3. That Section 28-8-511, Idaho Code, be, and the same is hereby
34 amended to read as follows:

35 28-8-511. PRIORITY AMONG SECURITY INTERESTS AND ENTITLEMENT HOLD-
36 ERS. ~~(1) Except as otherwise provided in subsections (2) and (3) of this~~
37 ~~section, if~~ If a securities intermediary does not have sufficient interests
38 in a particular financial asset to satisfy both its obligations to entitle-
39 ment holders who have security entitlements to that financial asset and its
40 obligation to a creditor of the securities intermediary who has a security
41 interest in that financial asset, the claims of entitlement holders, other
42 than the creditor, have priority over the claim of the creditor.

43 ~~(2) A claim of a creditor of a securities intermediary who has a secu-~~
44 ~~urity interest in a financial asset held by a securities intermediary has pri-~~
45 ~~ority over claims of the securities intermediary's entitlement holders who~~
46 ~~have security entitlements with respect to that financial asset if the cred-~~
47 ~~itor has control over the financial asset.~~

48 ~~(3) If a clearing corporation does not have sufficient financial assets~~
49 ~~to satisfy both its obligations to entitlement holders who have security en-~~

~~titlements with respect to a financial asset and its obligation to a creditor of the clearing corporation who has a security interest in that financial asset, the claim of the creditor has priority over the claims of entitlement holders.~~

SECTION 4. That Section 28-9-305, Idaho Code, be, and the same is hereby amended to read as follows:

28-9-305. LAW GOVERNING PERFECTION AND PRIORITY OF SECURITY INTERESTS IN INVESTMENT PROPERTY. (a) Except as otherwise provided in subsection (c) of this section, the following rules apply:

(1) While a security certificate is located in a jurisdiction, the local law of that jurisdiction governs perfection, the effect of perfection or nonperfection, and the priority of a security interest in the certificated security represented thereby.

(2) The local law of the issuer's jurisdiction as specified in section 28-8-110(4), Idaho Code, governs perfection, the effect of perfection or nonperfection, and the priority of a security interest in an uncertificated security.

~~(3) The local law of the securities intermediary's jurisdiction as specified in section 28-8-110(5) governs perfection, the effect of perfection or nonperfection, and the priority of a security interest in a security entitlement or securities account.~~

~~(4)~~ (3) The local law of the commodity intermediary's jurisdiction governs perfection, the effect of perfection or nonperfection, and the priority of a security interest in a commodity contract or commodity account.

(b) The following rules determine a commodity intermediary's jurisdiction for purposes of this part:

(1) If an agreement between the commodity intermediary and commodity customer governing the commodity account expressly provides that a particular jurisdiction is the commodity intermediary's jurisdiction for purposes of this part, this chapter, or the uniform commercial code, that jurisdiction is the commodity intermediary's jurisdiction.

(2) If paragraph (1) of this subsection does not apply and an agreement between the commodity intermediary and commodity customer governing the commodity account expressly provides that the agreement is governed by the law of a particular jurisdiction, that jurisdiction is the commodity intermediary's jurisdiction.

(3) If neither paragraph (1) nor (2) of this subsection applies and an agreement between the commodity intermediary and commodity customer governing the commodity account expressly provides that the commodity account is maintained at an office in a particular jurisdiction, that jurisdiction is the commodity intermediary's jurisdiction.

(4) If none of the preceding paragraphs apply, the commodity intermediary's jurisdiction is the jurisdiction in which the office identified in an account statement as the office serving the commodity customer's account is located.

(5) If none of the preceding paragraphs apply, the commodity intermediary's jurisdiction is the jurisdiction in which the chief executive office of the commodity intermediary is located.

1 (c) The local law of the jurisdiction in which the debtor is located
2 governs:

3 (1) Perfection of a security interest in investment property by filing;

4 (2) Automatic perfection of a security interest in investment property
5 created by a broker or securities intermediary; and

6 (3) Automatic perfection of a security interest in a commodity contract
7 or commodity account created by a commodity intermediary.

8 SECTION 5. An emergency existing therefor, which emergency is hereby
9 declared to exist, this act shall be in full force and effect on and after
10 July 1, 2026.